**Amendment of section 13.**

**8.** In section 13 of the Income-tax Act, with effect from the 1st day of April, 2023,—

(*a*) in sub-section (1),—

(*i*) in clause (*c*), in the long line, for the word, brackets and figure "sub-section (3)", the words, brackets and figures "sub-section (3), such part of income as referred to in sub-clauses (*i*) and (*ii*)" shall be substituted;

(*ii*) in clause (*d*), in the long line, for the word and figures "November, 1983", the words, figures and brackets "November, 1983, to the extent of such deposits or investments referred to in sub-clauses (*i*), (*ii*) and (*iii*)" shall be substituted;

(*b*) after sub-section (9) and before *Explanation 1*, the following sub-sections shall be inserted, namely:—

'(10) Where the provisions of sub-section (8) are applicable to any trust or institution or it violates the conditions specified under clause (*b*) or clause (*ba*) of sub-section (1) of section 12A, its income chargeable to tax shall be computed after allowing deduction for the expenditure (other than capital expenditure) incurred in India, for the objects of the trust or institution, subject to fulfilment of the following conditions, namely:—

(*a*) such expenditure is not from the corpus standing to the credit of the trust or institution as on the end of the financial year immediately preceding the previous year relevant to the assessment year for which income is being computed;

(*b*) such expenditure is not from any loan or borrowing;

(*c*) claim of depreciation is not in respect of an asset, acquisition of which has been claimed as application of income, in the same or any other previous year; and

(*d*) such expenditure is not in the form of any contribution or donation to any person.

*Explanation*.—For the purposes of determining the amount of expenditure under this sub-section, the provisions of sub-clause (*ia*) of clause (*a*) of section 40 and sub-sections (3) and (3A) of section 40A, shall, *mutatis mutandis*, apply as they apply in computing the income chargeable under the head "Profits and gains of business or profession".

(11) For the purposes of computing income chargeable to tax under sub-section (10), no deduction in respect of any expenditure or allowance or set off of any loss shall be allowed to the assessee under any other provision of this Act.'.